

Module -1 (Topic 001-012)

MC1T 201

Financial Management

Topic 001

Scope of Financial Management

- Financial management is a combination of two terms that is "Finance" & "management"
- Finance means money, funds, dollars, rupees
- Management is a process through which these funds, rupees, dollars are managed by an organization.

Functions of Financial Management

- Financing Activities
 - Investing Activities
 - Asset Management (Working Capital management)
 - Financial Analysis
- Financing Activities: arranging finances that means we need to get ^{Financing From} some sources - We cannot run a business if we don't have enough resources - we'll have or use our money & we call it equity - The equity of the people who are the owners of that business. Equity is first & main source of financing business - Once the equity is generated the second source is through debt that means borrowing (taking money & funds from people) from those who are not the owner of the business
- Investing Activities - means putting funds in most efficient & effective manner so that we get the maximum return. These investments are long-term & short-term

- Financial Analysis: means whatever we've done as a business organization before ultimately we need to analyze we were good, very good, bad or where we lack & need to work on

Topic 002:

Financing Activities - I

Financing Activities are about arranging finances for a business organization -

When we talk about arranging finances we need to look at the sources that means where we'll get the money

• Sources of financing

• External Financing

- it is the one on which the business has to rely mainly -
- There is a concept in Accounting called the concept of "Separate Business Entity" every business organization is different from its owners. That is if I own a company I am not the company myself - The company is a different entity & Business is a different entity - Anything which is not a company is external to the company. Meaning that the people who are the owners of the company are also external to the company - funds provided by them to the company is external source

• Internal Financing

- when a business is to be initiated there are no internal sources -

• Types of Financing

• Equity Financing

- when we talk about corporation here the equity providers are the "Shareholders" the people who purchase a small components of equity

• Debt Financing

- Taking loan from sources other than the owners who are lenders to the business - the relationship with us is borrower & lender

• Time Period of Financing

- Long-term Financing
- Equity

• Cost of Financing

- cost of financing means that the return we have to pay to the people who are providing us this financing.
- If the person providing us funds as equity funds that is by being the shareholder the return given to this person is dividend distributed from profit
- If group, bank is giving us funds as lender the return that we pay to the group, bank, institute etc is called interests or markup in some cases profit sharing
- Return that we need to pay is higher in long-term & lower in short-term in terms of percentage

- The prime objective of firm is to make profit, is to enhance its return, is to increase the wealth of the org.

Topic 003:

Financing Activities - II

• Equity Financing

• Common Shares

- Equity is basically generated through the issuance of common share
- Common Share is a term which we use for the ownership rights given to those who become risk takers for the organization
- An owner is the person who gets the profit & an owner is the person who face the loss
- The term "share" simply means a piece of capital or a share of capital that is we divide a total amount of capital in a business supposing it is one million suppose then in how many pieces we are dividing this capital -
- Attributes:
 - o The share which gives the person a right of ownership of that business
 - o If further shares are to be issued by the company then the common shareholders the first right
 - o If decisions are to be made at

the level where all shareholders have to contribute then they also give their opinion about the decisions that are to be made

- Preferred Shares

- They are not the owners of the organization in that true sense as common shareholders are although they are fund providers. They've gotten certain preferences & that is why they're called preferred shareholders

- Preferences

- They get profit before the common shareholders -

- During the process of liquidation, then preference shareholders has the first right on the company funds.

- They get fixed rate generally less than common shareholders

- Dividend

- It is the distribution of the profit it is annual or at times interim dividend (somewhere b/w the year)

- Profit (Internal financing)

Topic 004:

Financing Activities - III

- Debt Financing

- Types of Debt

- Public Issue

- Debt generated from general public - A small contribution is taken from individuals

- collectively it makes the total amount of debt that we require -

- Example: In our business entity we require 1 million rupees we'll ask the general public to purchase a security at debt security which is called a "Bond"

Every person who will purchase a bond of 100 rupees will contribute towards our debt. Once we issue 10,000 bonds each of 100 rupees we will be able to generate 1M rupees - This is called a public Debt

• Private loans & Financing

- Debt taken from organization, bank, financial institution, leasing company or any other similar financial institution

- A Bank is called "Financial Intermediary" the money or financing is with the people who have got their savings & the requirement is with the business organization. But directly the people cannot approach these business org. So they deposit their money in bank & Banks have fund which they ultimately distribute as loans to various business organization. So they act as intermediary & that is a business of a bank - less return to their depositors & more rate when giving loan to org

- & earn profit from this difference of rates - This is called "spread of bank"
- Types of Interest & its base
 - Fixed verses Floating rate
 - Fixed rate: At the time of deal or taking the loan it is written that is fixed (percentage)
 - Floating Rate: It keeps on fluctuating
 - KIBOR or Prime rate
 - KIBOR: Karachi Interbank Offered Rate (KIBOR) everyday the rate has been announced & bank would relate a plus % to KIBOR & so the final interest rate is determine
 - Prime rate: The best rate the minimum rate of interest that the bank would offers to somebody called the prime rate
- Financial Leverage
 - It is goal to take a loan as it creates a financial leverage
 - Financial leverage is simply the difference between what we have to pay to the fund provider when profit is generated by investing the loan which is more than the interest is the financial leverage

Topic 005:

Investing Activities - 1

Financial Management is about arranging finances & then investing these funds

Effective Investments means that it has to be invested in a way that it gives us a wide required rate of return - The required rate of return is a benchmark (the min level that we want to have) because on the other hand we'll have cost of financing -

• Term of Investment

• Long-Term Investment:

- Long-term Investment is also called capital assets - The technical term we use is the Property Plant & Equipment. It includes all fixed assets that are used in business operation - There may be those fixed assets that are not used in operations (business operations) they are called ^{ee} non-operating fixed assets ⁹⁹ - They're not included in Property Plant & Equipment - But we do make investments in them - Example is Capital work In Progress (Building that is under construction)

• Short-Term Investments

Investment in current assets to earn return from long-term investment

- Payment of electricity bill
- Buying raw material
- Salary to labor force

• Rate of Return

- How much should we earn?
 - Return has to be matched with the cost of funds or cost of finance -
 - If the cost of finance is less we can survive with less rate of return -

• Investing outside the Business

- Prime objective is to invest the funds in the core activities - If there exist a surplus we lend the funds as an investment or as a borrower

• Stock Markets

- A type of market where debt, equity or securities are bought -
- If organization has surplus it can invest in stock exchanges

• Other Markets

- Surplus can be invested in commodity market or bond market

• Lending & other options

Topic 006:

Investing Activities - II

• Long-Term Investments

- There involve more risk in long-term investments - Risk is "uncertainty" as it is related to future - What will be the return in the near future? more than expected or not?

• Capital Budgeting

- Capital Budgeting is a technique which is used in making long-term

investments where we analyze every long-term investment in terms of cashflows - The term cashflow means the cash inflow & cash outflow

- Discounted cashflow method

- In capital Budgeting we use the method of discounted cashflow to make analysis -

- The term discounted means that in these methods we calculate the present values of those cashflows which will be generated in the future

- Marketable Investments

- Capital markets

- stock exchange market

- money market

- short-term investment in money market

- Indirect Investment:

- Mutual fund

- A mutual fund is an org. where a lot of people pool their money & then invest that collected amount in experts stock market, commodity market, bond market, Investment trust etc.

- It is a more secure way of making the investment here the element of risk is lesser

- Mufap - mutual funds association

of Pakistan

- Those mutual funds whose share capital is once fixed are called closed end mutual funds
- Others are open end where we can make as much investment as we want

Topic 001

Asset Management (Working Capital Management) - I

Working Capital is that part of our investment which is made in current assets

• Why Working Capital is Required?

- When we need to utilize capital assets we've to put money in working capital
- Gross working capital is simply all the current assets
- Net working capital: When we subtract the liability from gross WC we get NWC
- Working capital is considered as the blood in the body of the business

• Major Components of Working Capital

• Inventories / Stocks

- Stocks which are kept in the business for the purpose of resale raw material, WIP, FG
- Inventories for internal consumption stores & spares & loose tools

• Receivables

- Credit sales is also investment in WC

o It is an asset which will be recovered in the future

- Cash

- Major need to meet day-to-day expenses
- How much liquidity to be maintained

- Gross & Net Working Capital

- Working Capital Ratios

- Current Ratio / Acid Test Ratio
- Cash cycle / Credit cycle

Topic 008:

Asset Management - II

- Inventory Management

- Type of Inventory

- Stock in Trade

- Inventory kept for the purpose of sale

- Stores & Spares

- for personal consumption (for business)

- Types of Stock in Trade

- Raw material

- Example : Yarn is used to produce cloth.

Yarn is a raw material

Cloth is Finished product

- One product is raw material for one business & finished product for other

- Work In Process

- Yarn in the process of conversion is the WIP
- Inventory of Incomplete goods
- Finished Goods
 - The end product
- Cost of Inventories
 - Carrying Cost
 - There is a cost on keeping the inventory
 - Ordering cost
 - There is a cost on ordering the cost
 - There exist a trade off b/w ordering cost & carrying cost

Topic 009

Asset Management - III

• Receivables Management

- Whenever credit sales is made receivables are generated

• Credit Policy

- Receivable management is all about credit policy-

• Credit Period

- How many days are allotted / given to receive the receivable amount
- It is considered as incentive for the buyer
- Extending the period increase your sales

• Cash Discount

- When you ask your receivables to be paid before the end of the

Topic 010

Asset Management IV

• Cash Management

- The third component of asset management is cash-management of cash is about anticipating the need of ~~an~~^a cash in the future & the availability of the cash-

• Cash Budget

- Cash inflows & outflows
- Surplus & Deficit
- Financing & Lending

• Technical Insolvency

- This means An organization which is profitable otherwise which is profitable but because of shortage of cash has gone into crisis due to which the business has to liquidate-
- Bankruptcy is different because there exist a shortage of ~~as~~ cash in technical Insolvency whereas the former is due to no profits generation

• Cash Flow Statement

• Cash Ratios

- Cash to our current assets
- Cash to our current liabilities

Topic 011

Financial Analysis - I

- It is the fourth activity of financial management
- It is simply looking at the finances, the receivables, the payables, the revenues, the expenses, the cost, the investments

* credit period & incentive is given in terms of discount

- It is a attraction for customers

• Discount Period

- if the credit period is 30% & you're asking the person to pay within 10 days to get a discount then this 10 days will be called as discount period.

• Bad Debts

- whenever there is a credit sales there is always a possibility of not getting the money from your customer

• Collection Cost

- The cost of keeping the department who will be managing the collection of the cash

• Factoring Receivables

- To avoid collection cost there is a process of factoring Receivables

- whether it is good to collect the receivables or outsourced

- when collection of cash is outsourced it is known as

“factoring” The person, organization or institution that collects the cash for us is called “factor”

• Matching Receivables & payables

- stretching the payables & how much we can extend the period

from different angles & then comparing & contrasting them then deciding about the performance of the organization maybe in terms of operation or investments

• Why Financial Analysis?

- Financial Analysis is not mainly related to the analysis of our performance (the operating performance) it relates to some other things
- Example: A particular company or corporation wants to purchase another business/company. Then financial analysis leads to the right decision whether it should be purchased or not or what is the most suitable price to offer to that company for getting into deal of acquisition of an organization
- Financial Analysis helps to decide whether particular merger will be beneficial for you or not or at what cost or at what price you get into that deal.

• When it is done?

- It is a matter of requirement it maybe done at the end of every month, every year

• Types of Financial Analysis

• Absolute versus Relative Analysis

- Absolute Analysis: Amount of sales/profit are compared with other
- Relative Analysis: comparison of two things
- Example: Profit is 1 Million (Absolute amount) profit with reference to sales

(it is relative)

- Comparative Analysis
 - different months, years comparison are made
 - Sales vs different components whether increased or decreased
- Index Analysis
 - huge amounts/value converted into index base (becomes relatively simple)
 - Then statements & comparison is made
- Cost, Volume & Profit Analysis
 - we see where Economies of Scales will exist
 - where are volume of production will be most beneficial in terms of reduction in cost & enhancement of profits
- Risk Analysis
 - How much is the level of risk
 - Expected return on that level of risk
 - More risk more expectation

Topic 012

Financial Analysis - II

- Ratio Analysis: Why Ratios?
 - A ratio is a tool which is when applied is to be compared (relative, index analysis)
- Liquidity Ratios
 - Current ratios
 - Quick ratios/Acid-test ratios

- Turnover or Activity Analysis

- how much activity is going on in our business
- Activities relating to making sales, generating receivables, collecting money, buying assets, selling assets etc
- more Activities, more cycle the more profit we'll get

- Leverage or Gearing Analysis

- Debt & Equity comparison

- coverage Analysis

- Profits available for the payment of certain expenses
- The most common is the interests coverage ratios & debt service coverage ratio

- Profitability Analysis

- Profit is an Absolute Amount i.e. in rupees
- how much is the profit as % of sales / investment / equity is profitability
- ROA, ROE

- Market Analysis

- market ratios means Price earning ratios
- Price of A Share in market relation with price earning
- Dividend payout ratios